Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$80.96 ▼ 2.83%	12M Price Target $95.00	52-Week Range $63.52 – $139.75	Market Cap $72.90B

HOOD: Hot CPI Hits Crypto, But Tokenization Story Intact

WHAT HAPPENED

- Hot CPI print (inflation data came in hotter than expected) crushed crypto overnight, which dragged HOOD down ~3% — makes sense because crypto trading is now a huge chunk of their revenue, so when Bitcoin drops, their transaction fees drop with it.
- The DraftKings news matters MORE than it looks — JPMorgan downgraded DKNG because a bigger federal prediction markets bill is moving, and HOOD just launched prediction markets too. That's a shared headwind people aren't fully pricing into HOOD yet.

WHY IT MATTERS

Here's the real story: HOOD's stock isn't just a brokerage anymore — it's a leveraged bet on three policy-sensitive themes (crypto, tokenization, prediction markets), and all three are at political inflection points. The Securitize news (tokenized assets hit $5B) is actually bullish for HOOD long-term because they're pushing hard into tokenized equities and the CFO literally said today they're courting Anthropic's IPO for retail access — this is the "democratize private markets" thesis playing out in real time. But the short-term pain is real: if inflation stays hot, the Fed stays hawkish, crypto stays under pressure, and HOOD's highest-margin revenue line gets squeezed. The stock is at only 23% of its 52-week range for a reason — momentum has clearly broken and we need a new catalyst (rate cut, crypto bounce, or a policy win on tokenization) to re-rate higher.

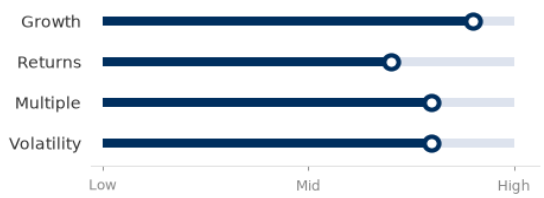
POLICY & POLITICAL WATCH

Three policy threads to watch: (1) The expanded federal prediction markets bill — this is the DKNG headline today, and it would create a federal framework (potentially restrictive) for event contracts, which HOOD just entered; if it tightens licensing, HOOD's new business line gets capped before it scales. (2) The SEC under the current crypto-friendly administration is finalizing rules on tokenized securities — if they create a clear path, HOOD becomes the retail gateway for private company access (huge), which is exactly why the CFO was out talking about Anthropic. (3) Section 1256 tax treatment and the ongoing "payment for order flow" (PFOF — the practice where market makers pay brokers to execute trades) debate — any restriction here hits HOOD's core revenue model directly.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$80.96**
12M Price Target	**$95.00**
Upside / (Downside)	**+17.3%**
Market Cap	**$72.90B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**43.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | November 10, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$92.00**	$82.00	**$72.00**
6 Months	**$115.00**	$90.00	**$65.00**
1 Year	**$140.00**	$95.00	**$55.00**
2 Years	**$180.00**	$110.00	**$50.00**
5 Years	**$280.00**	$160.00	**$40.00**
10 Years	**$500.00**	$250.00	**$30.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Traditional financials (+2.1% over 5 days) — banks are catching a bid as higher-for-longer rates boost net interest margins. Comm Services (+5.9% over 5 days) riding AI capex narratives.

COOLING OFF: Energy (-6.6% over 5 days) — oil weakness and demand concerns. Crypto-linked names getting hit on the inflation print.

ROTATION WATCH: Money is rotating OUT of high-beta growth (crypto brokers, fintech) and INTO traditional financials as the "rate cuts delayed" narrative takes hold. That's a direct headwind for HOOD because it trades more like a crypto proxy than a bank.

RELATED PLAY: If tokenization is the real long-term story, watch Securitize (private), BlackRock's BUIDL fund exposure, and Coinbase (COIN) — they're all playing the same theme. Also CBOE benefits from any prediction markets growth as the exchange infrastructure.

WHO'S WINNING IN THIS SPACE?

- JPM (JPMorgan): Winning on the "higher for longer" rate narrative — bank earnings get a tailwind while fintech multiples compress.
- ICE (Intercontinental Exchange): Benefiting from the regulated exchange moat as prediction markets face federal scrutiny — they win if HOOD/DKNG get constrained.

HOOD CONTEXT: HOOD is LAGGING the broader financials ETF badly (down 3% today while XLF was up 0.7%) — that tells you it's trading as a crypto/retail-trading proxy, NOT a financial. Until that correlation breaks (via tokenization wins or crypto recovery), the stock stays range-bound.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $70-75 on crypto pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Prediction markets federal ban, or crypto volume collapse >40%

Hedging: Pair with short on COIN or buy puts on crypto proxy (IBIT)

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